3. Provident Fund
General Provident Fund
Contributory Provident Fund

4. Life Insurance Scheme
LIC (Whole Life Policy)
Medical Insurance Scheme
Endowment Policy

5. Units of Unit Trust of India
6. Shares and debentures
7. Bonds
8. Chit Funds
9. Real Estate
10. Gold, Silver Jewellerys

7.9.1 Important Avenues of Investment

When the **savings** are made to grow, it is called investment. There are various avenues of investment. They are:

7.9.1.1 Banks

An investor deposits his savings in a bank account which earns him a nominal rate of interest. Besides banking, the banks offer a series of diverse financial services such as loans, credit cards, ATMs (Automatic Teller Machines). With the computerization and networking of some of the banks, their services have become faster and customers can operate their account from any of its branches. This is called core banking. These are the main accounts used for depositing money in a bank.

1. Savings Account	• An individual can open this account either singly or jointly. The minimum balance amount required in an account with nationalized banks is ₹ 500/- and ₹ 1000/-* with cheque book facility. This amount may vary in private banks. • The deposit can be made as and when the investor desires. Withdrawals are done with the help of cheques or withdrawal slips. A passbook is also provided for the record of deposits (credits) and withdrawals (debits). • **Advantages of paying through cheques:** Cheques are considered safe method because 1) Cheques are deposited directly into the payee's account. 2) Currency is not handled directly by either the payer or the payee. 3) Cheques are an unquestionable proof of having paid or received a payment.

Chapter7_156-184.indd 176 31-01-2019 15:24:39